19 November, 2025
Equity Research
Veldhoven, Netherlands

ASML

ASML Holding N.V.

Technology Driving Innovation

Target Price: $1,076.33

Investment Thesis (3 Points / Drivers)

Recommendation: *BUY*

EUV Monopoly: ASML's core investment thesis is that it is the sole global supplier of Extreme Ultraviolet (EUV) lithography machines, which establishes a critical and highly lucrative bottleneck in the semiconductor value chain. The manufacturing of all future processors (5-nanometer nodes and below)—fueling the rapid growth of the AI and Server segment—is reliant on this technology (CNBC, PwC, 2025). This positioning makes ASML the strategic bottleneck in the value chain globally, ensuring top-tier pricing for its machines. This "monopoly" is protected by near-impenetrable entry barriers, including the sky-high R&D investment, the 17,500+ patents (as of 2024), and the fact that tech rivals like Nikon and Canon are limited to last-generation DUV systems, allowing ASML to control about 90% of the global lithography tool market. With aggressive investment in R&D, ASML continues to solidify its leadership by developing next-generation machinery, such as High-NA (numerical aperture) EUVs, which will render its technology indispensable to its most important customers: TSMC, Samsung, and Intel.

R&D Commitment: ASML's historically rising annual research and development spending demonstrates its strong commitment to innovation and long-term technological leadership. The company spent €4.3 billion on R&D in 2024, up €3.2 billion from 2022, supporting advances in EUV and the development of High-NA systems. Although higher R&D costs may affect short-term profits, it strengthens ASML's long-term lead over competitors like Nikon and Canon, who remain focused on older DUV systems. As chipmakers including TSMC, Intel, and Samsung move toward more advanced nodes, demand for ASML's latest tools and system upgrades will continue to grow. Continued investment in R&D positions the company to meet the rising global demand for AI, 5G, and high-performance computing.

AI Demand: The rapid expansion of AI, particularly in network infrastructure and data centers, is a key driver of demand for ASML's advanced lithography systems. AI applications require powerful, energy-efficient chips produced at the smallest nodes, which is only possible with ASML's EUV technology. The Server and Network segment is projected to grow at an 11.6% CAGR through 2030, driven by the rise of generative AI and large-scale data processing. Leading chipmakers like TSMC and Samsung are increasingly investing in AI-optimized chips, relying heavily on ASML tools. As AI technologies become more widespread, ASML remains essential to enabling the production of next-generation processors.

Stock Rating: BUY
Industry View: POSITIVE

Price: $981.04
52 Week Range: $578.51 - $1,086.11
Market Cap ($b): $389.39
Shares Outstanding (m): 393.3



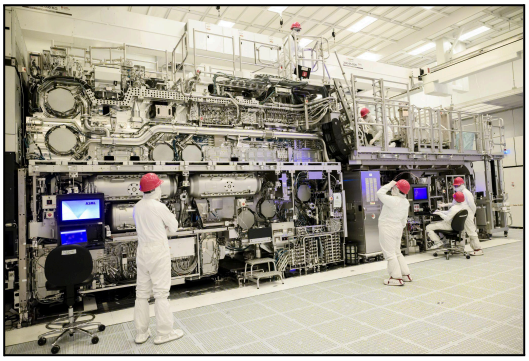
Source: Yahoo Finance

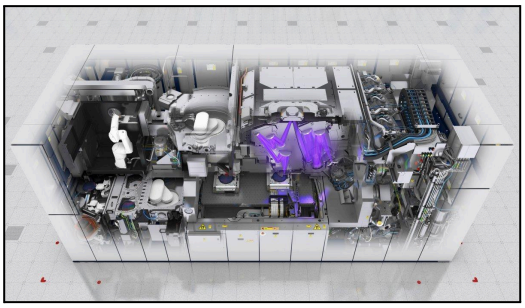
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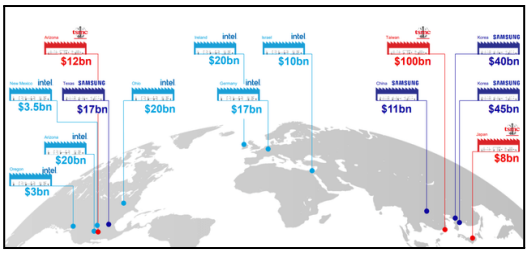
Company Description

ASML Holding N.V. is a Dutch company producing advanced photolithography systems for semiconductor manufacturing. It is the sole supplier of extreme ultraviolet (EUV) lithography machines and also manufactures deep ultraviolet (DUV) systems, metrology and inspection tools, and computational lithography software. The company's main business segments include lithography system sales and maintenance, and upgrade services through its Installed Base Management. Most of its revenue comes from EUV and DUV system sales to major chipmakers like TSMC, Samsung, and Intel. Nikon and Canon are its main competitors in the DUV market; neither offers EUV technology. Recently, ASML has been developing next-gen high-numerical-aperture (High-NA) EUV systems for advanced semiconductor technologies.

Industry Analysis







The global semiconductor market is transforming, driven by the explosive growth of Artificial Intelligence (AI) and increasing geopolitical competition (PwC, 2025). The overall market is set to grow from $627 billion in 2024 to over $1.03 trillion by 2030 (8.6% CAGR), indicating chips' status as a fundamental issue of economic security and national defense (SIA, 2025). The fastest-growing sector is the Server and Network sector (data centers and AI) with an 11.6% CAGR, followed by the Automotive sector at 10.7% CAGR due to electrification and autonomous driving, demanding 1,000+ semiconductors per unit (PwC, 2025). The ability to capitalize on this demand hinges on addressing the Lithography Bottleneck at the advanced node level as the manufacturing of edge processors requires Extreme Ultraviolet (EUV) lithography tools (CNBC, 2025). This necessity fuels the global Geopolitical Capital Race, as global semiconductor plant expenditure from 2024 to 2030 is expected to exceed $1.5 trillion (PwC, 2025). Governments are actively intervening to secure capacity; the U.S. $52 billion CHIPS Act has catalyzed over $500 billion of private investment on a trajectory to triple U.S. chipmaking capacity by 2032 (SIA, 2025), with competitors like South Korea (investing $230 billion, FSI) making similar capital investment. The industry faces severe structural issues: a highly concentrated competitive landscape with dominating fabrication players (TSMC, Samsung, Intel). Three threats jeopardize long-term stability: supply chain risk from specialized global chains vulnerable to geopolitics and natural disaster (Deloitte); the need for record R&D investment (U.S. companies spent $50.2 billion in 2021, SIA) to maintain the technological lead; and a worker shortage, with the industry requiring 100,000+ new skilled workers yearly through 2030 to fuel expansion (Deloitte, 2024).

SWOT

Strengths

From the breadth of its international network, to strategic partnerships (Intel, TSMC, and Samsung, Zeiss SMT), to the fact that ASML is the sole supplier of EUV technology, ASML dominates the market in most regards with achievement of economics of scale. High barriers to entry limit competition and alongside ASML's expansive product line. Its network allows for greater servicing, and a series of quality controls that have aided performance compared to competitor, near-full, in-house manufacturing and servicing.

Weaknesses

ASML does see weakness regarding potential increases in supplier bargaining power in the long run. In addition, large R&D spending may limit their ability to deal with economic uncertainty in the long run or maintain dividend expenditure. The firm is also subject to geopolitical export restrictions targeting China and its firms.

Opportunities

ASML also sees immense potential for growth and mitigation. Economies of scale and strategic partnership limit supplier bargaining power alongside moves to continue supply network diversification. The firm also sees little competition, finding itself in a (short-term) position to invest greatly through R&D expenditure in next-generation lithography services, only expanding their dominance.

Threats

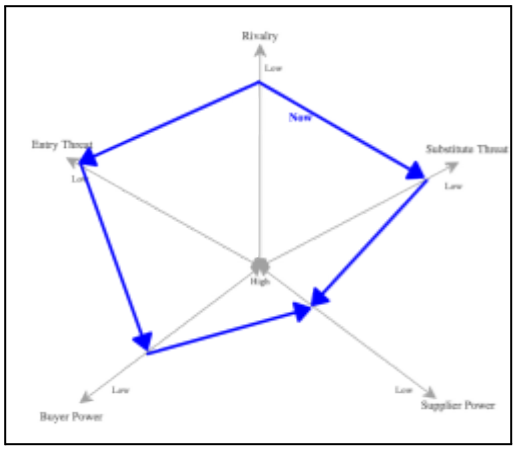
Due to geopolitical pressures, increasing Chinese incentive to enter lithography may increase competition although manufacturing costs stand as a barrier. Concerns over market control may fuel regulatory pressures, but ASML maintains compliance. Its network may pose a logistical threat, but leadership recognition and diversification commitments mitigate this position for now.

Competitive Analysis (Porter's 5)

Threat of New Entrants: Low

ASML operates in a specialized semiconductor equipment industry with high barriers to entry. It invests billions annually in R&D for its EUV lithography technology; most new companies can't match. Its technology is protected by over 17,500 patents as of 2024 and decades of expertise, giving it a strong competitive advantage. The company relies on specialized suppliers and has strong relationships with major chip manufacturers, which makes it difficult for new entrants to access the inputs or customers they need. High switching costs, strict industry standards, and government export controls make entering the market even more challenging.

Bargaining Power of Suppliers: High



ASML's supply chain is constrained by a few of their 5,150+ global suppliers. The top 35 generate 80% of total sourcing expenditure. Zeiss SMT holds significant leverage; replacement would require massive investments and long-term infrastructure shifts. To limit risk, ASML entered a 1997 partnership, naming Zeiss the sole supplier of optical subsystems and ASML their main purchaser, aligning benefit and limiting supplier bargaining power, although still high.

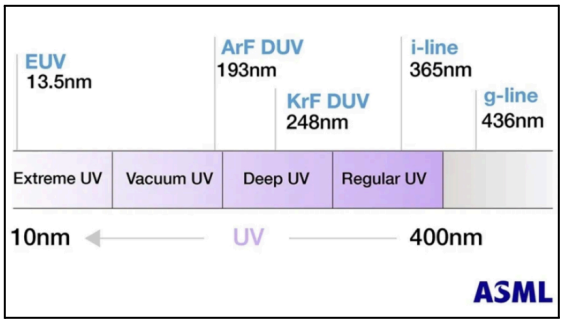
Bargaining Power of Buyers: Moderate

In 2024, TSMC and Samsung made up about 31% of ASML's total revenue, showing dependence on a few key customers, also reflected in their generation of €7.5 billion in net sales (Q3 2025). Yet, the 2012 Customer Co-Investment Program granting Intel, Samsung, and TSMC shares of ASML ensured long-term loyalty and interest in the firm, diminishing power over price level.

Threat of Substitute Products: Low

The range of substitute products for ASML EUV and DUV systems is relatively small, as few firms have the capabilities and supply chains necessary. Other products, like Canon's Nano-Imprint Lithography, have lower price points but lack testing and efficiency. High-NA EUVs, utilizing higher resolutions to create more complex chips, have led to a new wave of demand, but have been solely capitalized on by ASML. Geopolitics creates opportunities for substitutes to arise as governments limit exports to certain nations, like Dutch limits on EUV exports to China, leading to a rise in DUV demand. However, ASML cuts risks with DUV production. Due to the breadth of its product line and lack of substitute product testing, the threat is moderate, with future potential, but little current standing.

Degree of Competitive Rivalry in the Industry: Low



ASML is the leading supplier of lithography machinery to chip manufacturers. As the sole EUV supplier and mass DUV supplier, ASML serves ~90% of global lithography demand. Other firms include Nikon and Canon, but neither are competitive. Canon's Nano-Imprint system holds potential, but lacks testing and has fallen behind due to recent High-NA EUVs. The two are competitive through "legacy" systems (I-Line and KrF), which ASML also provides. Due to export restrictions to China, there exists increased competitive opportunity in the future, but firms face similar restrictions.

Figure 1: Income Statement

	Historical							*Projected*						
In millions, except per share data	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	€ 10,944.0	€ 11,820.0	€ 13,978.5	€ 18,611.0	€ 21,173.4	€ 27,558.5	€ 28,262.9	€ 32,603.5	€ 37,428.6	€ 42,493.3	€ 48,023.4	€ 53,615.6	€ 59,476.8	€ 65,306.7
Cost of Operations	5,914.8	6,540.2	7,181.3	8,802.0	10,473.3	13,442.4	13,770.9	15,780.1	18,164.9	20,579.5	23,233.7	26,014.3	28,817.9	31,608.4
Gross Profit	**5,029.2**	**5,279.8**	**6,797.2**	**9,809.0**	**10,700.1**	**14,116.1**	**14,492.0**	**14,492.0**	**14,492.0**	**14,492.0**	**14,492.0**	**14,492.0**	**14,492.0**	**14,492.0**
margin	*45.95%*	*44.67%*	*48.63%*	*52.71%*	*50.54%*	*51.22%*	*51.28%*	*44.45%*	*38.72%*	*34.10%*	*30.18%*	*27.03%*	*24.37%*	*22.19%*
Research and development (R&D) costs	(1,575.9)	(1,968.5)	(2,200.8)	(2,547.0)	*(3,253.5)*	*(3,980.6)*	*(4,303.7)*	(4,914.8)	(5,678.2)	(6,356.5)	(7,129.9)	(8,049.1)	(8,899.0)	(9,743.8)
Selling, general and administrative (SG&A) costs	(488.0)	(520.5)	(544.9)	(725.6)	*(945.9)*	*(1,113.2)*	*(1,165.7)*	(1,364.3)	(1,551.5)	(1,745.7)	(1,969.0)	(2,203.6)	(2,438.5)	(2,677.6)
Other Income				213.70				-	-	-	-	-	-	-
EBIT	**2,965.3**	**2,790.8**	**4,051.5**	**6,750.1**	**6,500.7**	**9,022.3**	**9,022.6**	**8,212.9**	**7,262.3**	**6,389.7**	**5,393.1**	**4,239.3**	**3,154.5**	**2,070.7**
margin	*27.10%*	*23.61%*	*28.98%*	*36.27%*	*30.70%*	*32.74%*	*31.92%*	*25.19%*	*19.40%*	*15.04%*	*11.23%*	*7.91%*	*5.30%*	*3.17%*
Interest and other, net	(28.3)	(25.0)	(34.9)	(44.6)	(44.6)	(41.2)	(19.8)	(64.72)	(71.09)	(79.40)	(85.42)	(90.64)	(97.01)	(107.79)
EBT	**2,937.0**	**2,765.8**	**4,016.6**	**6,705.5**	**6,456.1**	**8,981.1**	**9,002.8**	**8,148.2**	**7,191.2**	**6,310.3**	**5,307.7**	**4,148.6**	**3,057.4**	**1,962.9**
Income tax expense	(351.6)	(191.7)	(551.5)	(1,021.4)	(969.9)	(1,435.8)	(1,680.6)	(1,711.13)	(1,510.16)	(1,325.17)	(1,114.62)	(871.21)	(642.06)	(412.20)
Income after income taxes	2,585.4	2,574.1	3,465.1	5,684.1	5,486.2	7,545.3	7,322.2	6,437.1	5,681.1	4,985.2	4,193.1	3,277.4	2,415.4	1,550.7
Profit from equity method investments	6.2	18.2	88.6	199.1	138.0	191.3	209.8	121.6	138.1	155.2	164.7	159.8	162.9	158.9
Net Income	**2,591.6**	**2,592.3**	**3,553.7**	**5,883.2**	**5,624.2**	**7,736.6**	**7,532.0**	**6,558.7**	**5,819.1**	**5,140.4**	**4,357.8**	**3,437.2**	**2,578.3**	**1,709.6**
margin	*23.68%*	*21.93%*	*25.42%*	*31.61%*	*26.56%*	*28.07%*	*26.65%*	*20.12%*	*15.55%*	*12.10%*	*9.07%*	*6.41%*	*4.33%*	*2.62%*
Depreciation and Ammortization	422.7	448.5	490.8	471.0	583.6	739.8	918.6	*1,042.8*	*1,161.7*	*1,276.9*	*1,408.4*	*1,603.2*	*1,798.3*	*2,006.2*
EBITDA	**3,388.0**	**3,239.3**	**4,542.3**	**7,221.1**	**7,084.3**	**9,762.1**	**9,941.2**	**9,255.8**	**8,424.0**	**7,666.7**	**6,801.5**	**5,842.5**	**4,952.8**	**4,076.9**
margin	30.96%	27.41%	32.49%	38.80%	33.46%	35.42%	35.17%	28.39%	22.51%	18.04%	14.16%	10.90%	8.33%	6.24%
Earnings per share														
Basic	6.1	6.2	8.5	14.4	14.1	19.9	19.3	16.7	14.8	13.1	11.1	8.7	6.6	4.3
Diluted	6.1	6.2	8.5	14.3	14.1	19.9	19.2	16.7	14.8	13.1	11.1	8.7	6.6	4.3
Shares Outstanding														
Basic	424.9	420.8	418.3	409.8	397.7	393.8	393.3	393.3	393.3	393.3	393.3	393.3	393.3	393.3
Diluted	426.4	421.6	419.1	410.4	398.0	394.1	393.6	393.6	393.6	393.6	393.6	393.6	393.6	393.6
Forecast														
Cost of Operations	54.05%	55.33%	51.37%	47.29%	49.46%	48.78%	48.72%	48.40%	48.53%	48.43%	48.38%	48.52%	48.45%	48.40%
Research and development (R&D) costs	-14.40%	-16.65%	-15.74%	-13.69%	-15.37%	-14.44%	-15.23%	-15.07%	-15.17%	-14.96%	-14.85%	-15.01%	-14.96%	-14.92%
Selling, general and administrative (SG&A) costs	-4.46%	-4.40%	-3.90%	-3.90%	-4.47%	-4.04%	-4.12%	-4.18%	-4.15%	-4.11%	-4.10%	-4.11%	-4.10%	-4.10%
Depreciation and Ammortization	3.86%	3.79%	3.51%	2.53%	2.76%	2.68%	3.25%	3.20%	3.10%	3.01%	2.93%	2.99%	3.02%	3.07%
Interest Expense	-0.26%	-0.21%	-0.25%	-0.24%	-0.21%	-0.15%	-0.07%	-0.20%	-0.19%	-0.19%	-0.18%	-0.17%	-0.16%	-0.17%
Taxes	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%

Income Statement Rationale: Projections are based on qualitatively informed metrics alongside the historical performance of ASML. Key metrics that include qualitatively informed values include Cost of Operations and R&D costs, as historical values do not account for geopolitical and competitive shifts (export restrictions and the introduction of the High-NA system).

Figure 2: Revenue Build

in millions, except per share data	Historical 2018A	2019A	2020A	2021A	2022A	2023A	2024A	Projected 2025E	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	€ 10,944.0	€ 11,820.0	€ 13,978.5	€ 18,611.0	€ 21,173.4	€ 27,558.5	€ 28,262.9	32,603.54	37,428.61	42,493.35	48,023.38	53,615.64	59,476.75	65,306.68
YoY Growth		*8.00%*	*18.26%*	*33.14%*	*13.77%*	*30.16%*	*2.56%*	*15.36%*	*14.80%*	*13.53%*	*13.01%*	*11.64%*	*10.93%*	*9.80%*
EUV	€ 1,880.10	€ 2,799.70	€ 4,463.80	€ 6,284.00	€ -	€ -	€ -							
EXE	-	-	-	-	-	-	465.00	613.80	785.66	989.94	1,227.52	1,423.92	1,609.04	1,769.94
NXE	-	-	-	-	7,045.30	9,124.00	7,856.40	9,113.42	10,389.30	11,636.02	12,799.62	13,823.59	14,653.01	15,239.13
ArFi	4,806.90	4,707.70	3,917.00	4,959.60	-	-	-							
ArF immersion	-	-	-	-	5,236.50	9,017.40	9,667.00	11,117.05	12,784.61	14,446.61	16,324.67	18,120.38	20,113.62	21,923.85
ArF dry	274.30	401.20	427.00	431.90	623.70	780.20	774.40	851.84	937.02	1,011.99	1,092.94	1,158.52	1,228.03	1,277.15
KrF	860.10	679.70	1,012.30	1,321.30	1,653.70	2,202.50	1,991.20	2,210.23	2,453.36	2,723.23	3,022.78	3,355.29	3,623.71	3,913.61
I-line	98.60	133.50	146.40	142.30	211.50	278.40	369.20	402.43	438.65	478.12	521.16	568.06	596.46	626.29
Metrology & Inspection Total	339.10	274.40	350.10	513.70	659.60	536.10	645.50	793.97	976.58	1,201.19	1,477.46	1,817.28	2,235.25	2,749.36
Net Systems Sales	**8,259.10**	**8,996.20**	**10,316.60**	**13,652.80**	**15,430.30**	**21,938.60**	**21,768.70**	**25,102.74**	**28,765.18**	**32,487.09**	**36,466.15**	**40,267.04**	**44,059.12**	**47,499.32**
Service and Field Options Total	**2,684.90**	**2,823.80**	**3,661.90**	**4,958.20**	**5,743.10**	**5,619.90**	**6,494.20**	**7,500.80**	**8,663.43**	**10,006.26**	**11,557.23**	**13,348.60**	**15,417.63**	**17,807.36**
Forecast														
EUV	0.00%	48.91%	59.44%	40.78%										
EXE								32.00%	28.00%	26.00%	24.00%	16.00%	13.00%	10.00%
NXE						29.50%	-13.89%	16.00%	14.00%	12.00%	10.00%	8.00%	6.00%	4.00%
ArFi	0.00%	-2.06%	-16.80%	26.62%										
ArF immersion					0.00%	72.20%	7.20%	15.00%	15.00%	13.00%	13.00%	11.00%	11.00%	9.00%
ArF dry	0.00%	46.26%	6.43%	1.15%	44.41%	25.09%	-0.74%	10.00%	10.00%	8.00%	8.00%	6.00%	6.00%	4.00%
KrF	0.00%	-20.97%	48.93%	30.52%	25.16%	33.19%	-9.59%	11.00%	11.00%	11.00%	11.00%	11.00%	8.00%	8.00%
I-line	0.00%	35.40%	9.66%	-2.80%	48.63%	31.63%	32.61%	9.00%	9.00%	9.00%	9.00%	9.00%	5.00%	5.00%
Metrology & Inspection	0.00%	-19.08%	27.59%	46.73%	28.40%	-18.72%	20.41%	23.00%	23.00%	23.00%	23.00%	23.00%	23.00%	23.00%
Service and Field Options	0.00%	5.17%	29.68%	35.40%	15.83%	-2.15%	15.56%	15.50%	15.50%	15.50%	15.50%	15.50%	15.50%	15.50%

Revenue Build Rationale: The forecast was made by projecting sales for each product category based on item-by-item growth rates reflecting market dynamics, such as ArF immersion's 2025E growth of 15% and 2025E projected revenue of $9,113.42 M for the NXE line. These percentage changes are applied to the prior year's actual/projected revenue, like the $11,705.05 M 2024A ArF immersion revenue, creating the annual dollar-value forecast for each category. The Total Net Systems Sales forecast is the sum of these item-specific projections, resulting in a projected 2025E revenue of $25,102.74 M.

Figures 3 & 4: Balance Sheet and Cash Flow Statement (Based On Historical Data)

Balance Sheet (*€ in millions*)	*Historical* 2018A	2019A	2020A	2021A	2022A	2023A	2024A
Current assets:							
Cash and cash equivalents	€3,121.1	€3,532.3	€6,049.4	€6,951.8	€7,268.3	€7,004.7	€12,735.9
Short-term investments	913.3	1,185.8	1,302.2	638.5	107.7	5.4	5.4
Accounts receivable, net	1,498.2	1,786.8	1,310.3	3,028.0	5,323.8	4,334.1	4,477.5
Finance receivables, net	611.1	564.5	1,710.5	1,185.6	1,356.7	1,379.2	82.6
Current tax assets	79.7	178.7	67.3	42.0	33.4	1,001.2	283.6
Contract assets	95.9	231.0	119.2	164.6	131.9	240.1	320.6
Inventories, net	3,439.5	3,809.2	4,569.4	5,179.2	7,199.7	8,850.7	10,891.5
Other assets	772.6	842.8	801.7	1,000.5	1,643.4	1,578.5	1,940.3
Total current assets	**10,531.4**	**12,131.1**	**15,930.0**	**18,190.2**	**23,064.9**	**24,393.9**	**30,737.4**
Finance receivables, net	275.1	421.1	400.5	383.0	0.0	60.6	317.2
Deferred tax assets	236.3	445.3	671.5	1,098.7	1,672.8	1,872.3	1,940.7
Loans receivable	806.1	830.4	951.5	1,011.4	364.4	929.2	1,456.6
Other assets	915.8	833.0	820.7	892.5	739.8	651.8	790.8
Equity method investments	4,541.1	4,541.1	4,629.1	4,555.6	923.6	919.6	903.0
Goodwill	1,104.0	1,104.4	1,048.9	952.1	4,555.6	4,588.6	4,588.6
Other intangible assets, net	1,589.5	1,999.3	2,470.3	2,982.7	842.4	741.7	621.3
Property, plant and equipment, net	137.6	205.4	180.1	159.5	3,944.2	5,493.2	6,846.8
Right-of-use assets	0.0	118.5	164.8	5.3	192.7	306.6	387.2
Total assets	**20,136.9**	**22,629.6**	**27,267.4**	**30,231.0**	**36,300.4**	**39,957.5**	**48,589.6**
Current liabilities:							
Accounts payable	964.0	1,062.2	1,377.9	2,116.3	2,565.2	2,347.3	3,500.4
Accrued and other liabilities	911.4	1,039.9	1,146.0	1,435.5	1,875.9	2,177.4	2,686.6
Current tax liabilities	187.9	65.6	110.0	301.9	315.3	308.9	283.3
Current portion of long-term debt	0.0	0.0	15.4	509.1	746.2	0.1	1,010.3
Contract liabilities	1,728.6	2,526.4	3,954.2	7,935.2	12,481.0	11,441.0	12,570.8
Total current liabilities	**3,791.9**	**4,694.1**	**6,603.5**	**12,298.0**	**17,983.6**	**16,274.7**	**20,051.4**
Long-term debt	3,026.5	3,108.3	4,662.8	4,075.0	3,514.2	4,631.5	3,677.3
Deferred and other income tax liabilities	251.2	234.4	238.3	240.6	267.0	372.2	299.2
Contract liabilities	1,224.6	1,759.6	1,639.9	3,225.7	5,269.9	4,825.5	5,625.4
Accrued and other liabilities	201.7	241.0	257.5	251.1	454.9	401.2	459.5
Total liabilities	**8,495.9**	**10,037.4**	**13,402.0**	**20,090.4**	**27,489.6**	**26,505.1**	**30,112.8**
Shareholders' equity:							
Issued and outstanding shares	38.6	38.2	37.6	36.5	36.3	36.0	35.4
Share premium	3,741.3	3,772.0	3,780.1	3,876.1	3,940.8	3,998.1	4,049.0
Treasury shares at cost	(1,621.8)	(1,019.6)	(863.2)	(2,422.8)	(4,641.3)	(3,306.2)	(476.0)
Retained earnings	9,197.9	9,523.8	10,731.5	8,317.3	9,046.7	12,379.5	14,414.3
Accumulated other comprehensive income	285.0	277.8	179.4	333.5	428.3	345.0	454.1
Total shareholders' equity	**11,641.0**	**12,592.2**	**13,865.4**	**10,140.6**	**8,810.8**	**13,452.4**	**18,476.8**
Total liabilities and shareholders' equity	**20,136.9**	**22,629.6**	**27,267.4**	**30,231.0**	**36,300.4**	**39,957.5**	**48,589.6**

Cash Flow Statement in millions, except per share data	Historical 2018A	2019A	2020A	2021A	2022A	2023A	2024A
Net income	€ 2,591.60	€ 2,592.30	€ 3,553.70	€ 5,883.20	€ 5,624.20	€ 7,839.00	€ 7,571.60
Adjustments to reconcile net income to net cash flows from operating activities:							
Depreciation and amortization	422.7	448.5	490.8	471.0	583.6	739.8	918.6
Impairment and loss on disposal	19.0	7.8	5.5	(15.9)	39.3	37.5	35.8
Share-based compensation expense	46.3	74.6	53.9	117.5	68.9	134.8	172.6
Gain on sale of subsidiaries		-	-	(213.7)	-	-	-
Inventory reserves	218.2	221.5	192.4	180.7	278.5	485.3	554.7
Deferred tax expense (benefit)	(238.5)	(236.8)	(211.3)	(419.6)	(564.2)	(133.6)	(144.8)
Equity method investments	61.6	56.9	11.0	(49.8)	15.3	4.2	4.4
Changes in assets and liabilities:							
Accounts receivable, net	212.4	(255.0)	507.5	(1,754.9)	(2,338.0)	959.9	(139.9)
Finance receivables, net	(664.9)	(95.3)	(1,125.4)	542.3	212.2	(88.6)	1,038.7
Inventories	(515.7)	(404.7)	(706.7)	(483.2)	(2,080.9)	(1,646.9)	(1,860.9)
Other assets	(404.0)	(199.1)	(75.1)	(222.2)	(864.3)	(344.3)	(1,299.0)
Accrued and other liabilities	237.7	82.1	47.5	347.6	439.7	222.0	625.5
Accounts payable	97.9	(12.1)	334.3	718.6	406.2	(261.7)	1,127.6
Current tax assets and liabilities	13.1	(202.6)	131.5	214.4	33.6	(939.4)	689.5
Contract assets and liabilities	975.3	1,198.3	1,418.0	5,529.8	6,632.7	(1,564.6)	1,871.8
Net cash provided by operating activities	**3,072.7**	**3,276.4**	**4,627.6**	**10,845.8**	**8,486.8**	**5,443.4**	**11,166.2**
Cash flows from investing activities							
Purchase of property, plant and equipment	(574.0)	(766.6)	(962.0)	(900.7)	(1,281.8)	(2,155.6)	(2,067.2)
Purchase of intangible assets	(35.5)	(119.3)	(38.8)	(39.6)	(37.5)	(40.6)	(15.9)
Purchase of short-term investments	(918.1)	(1,291.5)	(1,475.5)	(1,162.7)	(334.3)	(23.6)	(305.2)
Maturity of short-term investments	1,034.1	1,019.0	1,359.1	1,826.4	864.7	125.6	305.2
Loans issued and other investments	(1.0)	0.9	(12.2)	(124.4)	(240.0)	(561.5)	(526.2)
Proceeds from sale of subsidiaries (net of cash disposed of)	-	-	-	329.0	-	-	-
Acquisition of subsidiaries (net of cash acquired)	-	-	(222.8)	-	-	(33.6)	-
Net cash used in investing activities	**(494.5)**	**(1,157.5)**	**(1,129.4)**	**(72.0)**	**(1,028.9)**	**(2,655.7)**	**(2,609.3)**
Cash flows from financing activities							
Dividend paid	(597.1)	(1,325.7)	(1,066.4)	(1,368.3)	(2,559.8)	(2,348.3)	(2,452.9)
Purchase of treasury shares	(1,146.2)	(410.0)	(1,207.5)	(8,560.3)	(4,639.7)	(1,000.0)	(500.0)
Net proceeds from issuance of shares	21.8	27.2	37.9	49.0	81.8	99.4	124.0
Net proceeds from issuance of notes, net of issuance costs	-	-	1,486.3	-	495.6	997.8	22.5
Repayment of debt and finance lease obligations	(2.8)	(3.8)	(3.3)	(12.1)	(516.2)	(752.8)	(25.7)
Net cash used in financing activities	**(1,724.3)**	**(1,712.3)**	**(753.0)**	**(9,891.7)**	**(7,138.3)**	**(3,003.9)**	**(2,832.1)**
Net cash flows	**856.9**	**406.6**	**2,522.4**	**882.1**	**319.6**	**(249.8)**	**5,724.8**
Effect of changes in exchange rates on cash	5.2	4.6	(5.3)	20.3	(3.1)	(13.8)	6.4
Net increase (decrease) in cash and cash equivalents	**862.1**	**411.2**	**2,517.1**	**902.4**	**316.5**	**(263.6)**	**5,731.2**
Cash and cash equivalents at beginning of the year	2,259.0	3,121.1	3,532.3	6,049.4	6,951.8	7,268.3	7,004.7
Cash and cash equivalents at end of the year	**3,121.1**	**3,532.3**	**6,049.4**	**6,951.8**	**7,268.3**	**7,004.7**	**12,735.9**

Figure 5: Comparable Company Analysis

As of 11/8/25		Market Cap	EV	LTM		
Company	Ticker	($BN)	($BN)	EV/EBITDA	EV/Revenue	P/E
Applied Materials	NasdaqGS: AMAT	183.28	177.87	19.9	6.22	27.49
Lam Research Corporation	NasdaqGS: LRCX	200.15	183.45	28.13	9.95	35.18
KLA Corportation	NasdaqGS: KLAC	156.80	151.62	28.39	12.47	37.46
Teradyne, Inc.	NasdaqGS: TER	28.55	22.7	34.47	8.03	66.28
ASML Holding N.V	NasdaqGS: ASML	399.49	395.51	27.18	10.48	36.36
Average				27.7225	9.1675	41.6025
Median				28.26	8.99	36.32
High				34.47	12.47	66.28
Low				19.9	6.22	27.49

Comparable Company Analysis Rationale: ASML is valued similarly to other companies in the industry, with a P/E ratio of 36.36 and EV/EBITDA of 27.18–close to the medians of 36.32 and 28.26. The company has the highest market capitalization and enterprise value within the group, showing its leading position and unique role as the only provider of EUV lithography systems. Its slightly lower EV/EBITDA suggests strong profitability while keeping its overall valuation comparable to the market.

Figure 6: Valuation Analysis

values in billions

EV/EBITDA Valuation Summary			EV/Revenue Valuation Summary			P/E Valuation Summary	
EBITDA	12.16	Yahoo Finance	Revenue	32.21	Yahoo Finance	EPS	27.97
Multiple	28.26		Mutiple	8.99		Multiple	36.32
Total Enterprise Value	**343.64**		**Total Enterprise Value**	**289.57**		**Total Enterprise Value**	**397.11**
(-) Debit	2.7		(-) Debit	2.7		(-) Debit	2.7
(+) Cash	5.13		(+) Cash	5.13		(+) Cash	5.13
Total Equity Value	346.07		**Total Equity Value**	292.00		**Total Equity Value**	**399.54**
Shares Oustanding	0.3933		Shares Oustanding	0.3933		Shares Oustanding	0.3933
Implied Share Price	**879.92**		**Implied Share Price**	**742.43**		**Implied Share Price**	**1015.8704**
Current Price (As of 11/8/25)	1,016.96		Current Price (As of 11/8/25)	1,016.96		Current Price (As of 11/8/25)	1,016.96
Upside(Downside)	-13.48%		Upside(Downside)	-27.00%		Upside(Downside)	-0.11%

Valuation Rationale: Although a quantitative valuation creates bearish outlooks, a history of innovation, the relative market monopoly, and the easing of geopolitical tensions support a rise in revenue and profitability in the long run.

Risk: Increasing Geopolitical Tension and Trade Barriers (U.S. vs. China)

The core risk for ASML comes from worsening U.S.–China relations, particularly export restrictions on advanced chipmaking equipment (EUV and some DUV tools) meant to slow China's semiconductor progress. This threatens sales, as China's share of ASML's total revenue jumped to 36.1% in 2024 (€10.2 billion). Although China is barred from purchasing EUV tools, it remains a major buyer of unrestricted DUV systems. ASML is offsetting this by diversifying sales across South Korea, Taiwan (TSMC), the U.S., and Japan. Another risk is a potential 30% U.S. tariff on European goods, which could raise the cost of ASML's machines, though the company can counter this through supply-chain optimization. Despite China's heavy domestic investment, it remains years behind ASML in advanced lithography, giving the firm a window to strengthen its global lead.

Risk: Slower Earnings Outlook and Potential Impact on Investor Confidence

ASML has stated that its 2026 earnings are not expected to fall below 2025 levels, a sign often used by companies facing slower growth. This indicates ASML may no longer project strong expansion after its record years, which could make investors more cautious and cause short-term stock declines. If ASML misses even this conservative target, it could harm its reputation for reliability and raise doubts about long-term growth. To reduce this risk, ASML can strengthen investor confidence by highlighting its strong delivery record, transparent communication, and consistent financial performance. Its continued dividends and share buybacks also reinforce management's confidence in the business.

Risk: Rising R&D Spending and Uncertain Returns

ASML's R&D increase presents a short-term risk, pressuring profitability, as expenses rose to €4.3 billion in 2024 and are forecast to be around €1.2 billion in Q4 2025, impacting quarterly margins. This is a crucial investment targeting next-generation High NA EUV lithography, which offers 8 nm resolution versus a 14 nm current tool and costs $400 million each, securing ASML's technological monopoly for the next decade, cushioned by a €36 billion order backlog and reliable income from Installed Base Management services.

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